

stocks to their clients based on their meticulous research of companies and their sectors.

A lot of what passed off as ‘research’ in those days would constitute insider trading today. One heavyweight speculator-cum-investor-cum-broker of that era managed to get a job for his relative in an auto-component firm in which he owned shares and traded in them frequently. The relative would pass on details of the firm’s monthly production figures to the broker, who in turn used the information to trade in the stock.

More than stock market professionals, company promoters used to speculate heavily in their own shares. All of them had their favoured brokers, known as ‘house brokers’, who came to be known as proxies for the promoters in the market even if they were not always trading on their behalf. A skilled market player could observe the size and pattern of trades made by these brokers and figure out if they were acting on behalf of company promoters or other clients.

UTI’s business was crucial to the prosperity of any brokerage firm worth its salt. Since UTI dealt in large blocks of shares most of the time, there was good money to be earned by way of commission. But for many unscrupulous brokers, the big money did not lie in commissions; it was to be made by front-running UTI’s trades.

Unscrupulous brokers who got buy orders for shares from UTI would first buy some of the same shares for themselves. Naturally, the price of these shares would rise in the market when UTI’s orders were getting executed in the market. At this point, these brokers would sell the shares they had bought for themselves at a profit.

If it was a sell order from UTI for a stock, the brokers would short-sell the same stock in their personal capacity. Short selling means selling shares without owning them, in the hope that share prices will fall and that you will be able to buy them back cheap and deliver them to the buyer on the trade settlement day. The brokers would later cover their short positions – that is, buy back the same shares they had sold, but at a lower price – as UTI’s sell orders in the market weakened the stock price.

For brokers without orders from UTI, the next best thing to do was to find out what UTI was up to and try to copy those trades. Due to UTI’s dominant position, brokers were forever queuing up at its office on Marine Lines in Mumbai after market hours. Many brokers were empanelled with UTI, but the cream of the orders went to a select few. Tales abounded of